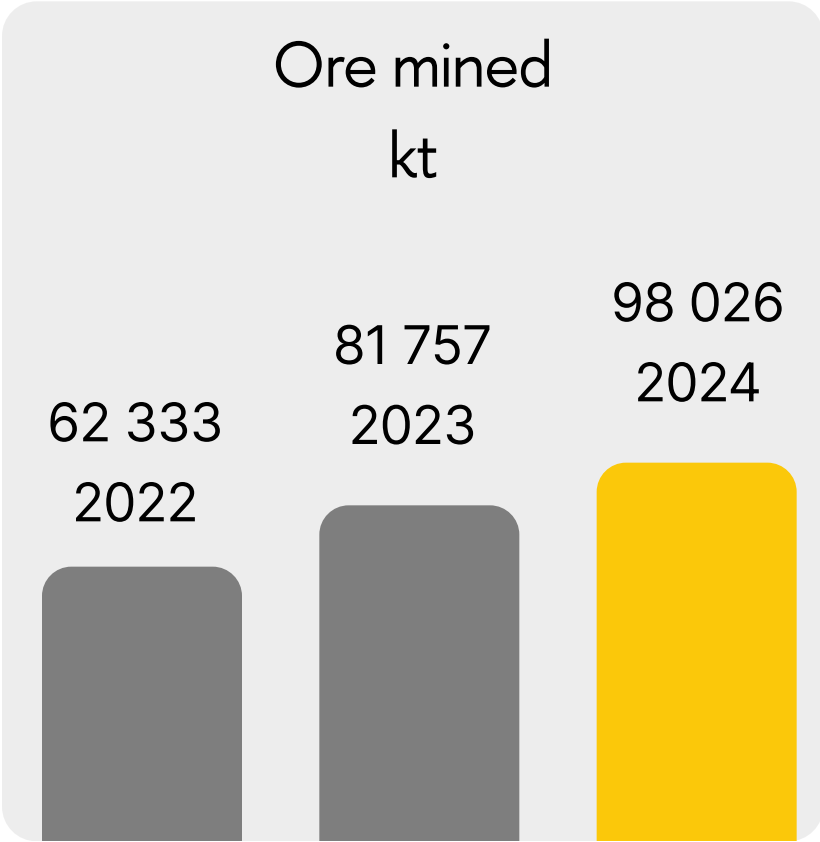
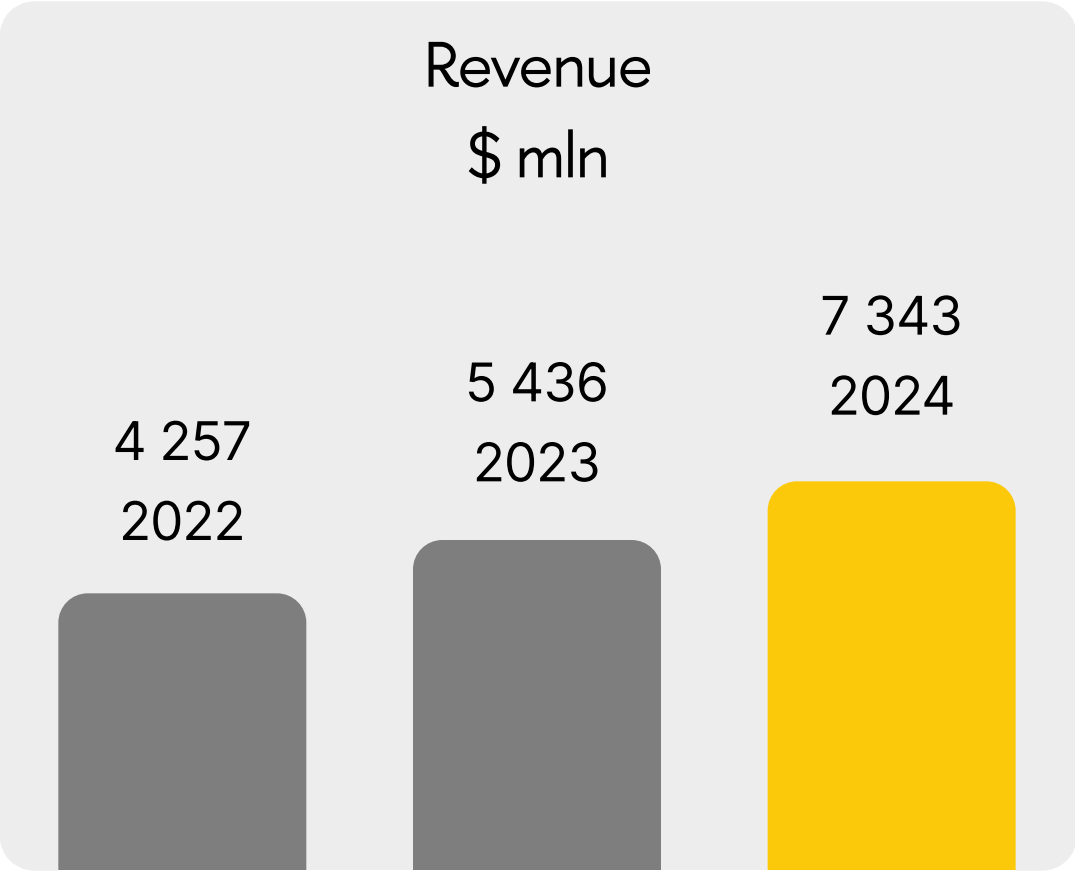


Polyus Investment Project Review

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Company Overview



- Strategic Priorities
- Maintain and expand extensive reserve and resources base
 - Pursue capital-efficient growth opportunities
 - Preserve cost leadership
 - Strike balance between shareholder returns and optimal capital structure
 - Maintain high standards of corporate governance and disclosure
 - Maintain stringent health and safety standards

PJSC Polyus is the largest gold producer in Russia and a top 5 gold producer globally with one of the lowest cost profiles.

The Company is also a Top-3 global gold miner in terms of attributable gold ore reserves (105 million ounces of proven and probable gold reserves) underpinning its strong growth profile.

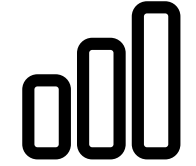
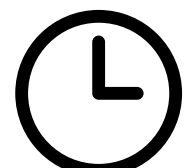
Company's principal operations are located in Krasnoyarsk Territory, Irkutsk Region, Magadan Region and the Republic of Sakha (Yakutia) and include 5 operating mines and several advanced development projects.

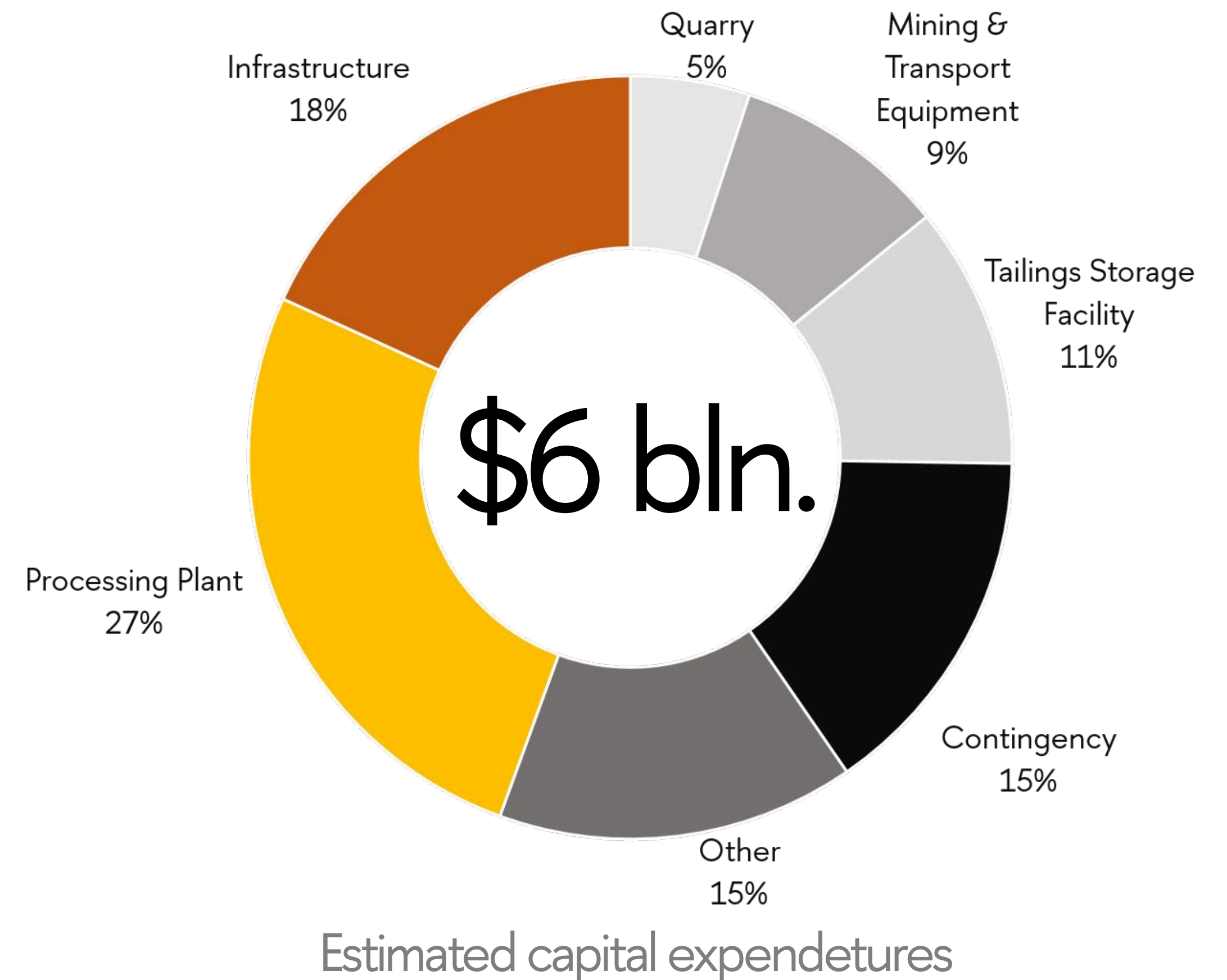


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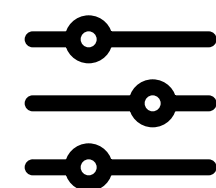
Project Overview - Sukhoi Log



-  One of the largest undeveloped gold deposits globally
-  Irkutsk Region, Russia
-  Reserves: 43.5 million ounces
-  Processing Capacity: ~34 million tonnes per annum
-  Polyus is considering a number of project financing options with different leverage ratios
-  The project is expected to be profitable for 20 years

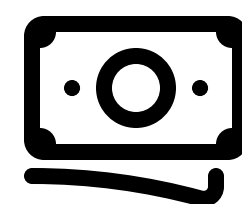


Assumptions



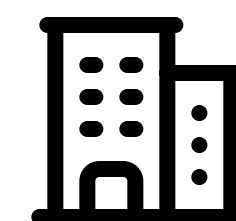
Production
2.0 Moz/year

- Proven reserves ÷ 20-year project life
- Below company guidance (2.3 Moz/year) — conservative recovery assumption



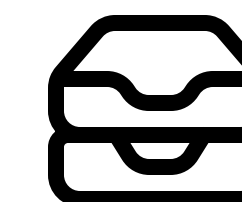
Total Cash Cost
\$653/oz

- Polyus actual costs excluding:
- Depreciation (non-cash)
 - MET (Mineral Extraction Tax), calculated specifically for Sukhoi Log with applicable surcharges and incentives



SG&A
6% of Revenue

- 12-year historical review: 4-7% range
- Upper bound selected - conservative for a standalone project
- Part of overhead already allocated at group level



Other Expenses
5.2% of Revenue

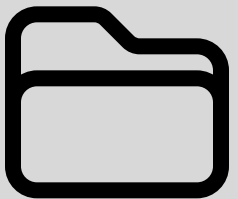
- Based on Polyus historical cost structure
- Includes logistics, sales, and administrative expenses

Gold Pricing

CAGR 8.64% applied to
2025 average gold price

We use a long-term, historically grounded and deliberately conservative gold price trajectory to prioritize reliability over optimism.

Conservative vs. investment bank consensus (JPM, etc.) for 2026-2027.



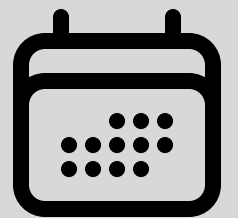
Historical Basis

50-year gold price analysis (post-Bretton Woods, 1975-2025)



Growth Metric

Compound Annual Growth Rate (CAGR)



Starting Point

Average 2025 price



Forward Application

CAGR compounded annually from 2025 base through project life

Beta estimation

Beta measures security's sensitivity to the market risk. In our case 2 major effects take place: risk of operating in the Russian market and in the gold market.

Key insight: results alter significantly with the respect to market consideration. In order to assess cost of capital properly we employ a special approach.

Standard beta calculation

$$\beta = \frac{Cov(R_i, R_m)}{Var(R_m)}$$

Using gold futures:

$$\beta = 0.57$$

Using MOEX index:

$$\beta = 0.78$$

Using GDM Index:

$$\beta = 0.40$$

Industry beta of developed markets calculation

$$\beta = 0.68$$

Hence, we get equity beta for Polyus:

$$\beta = 0.77$$

WACC

We propose the most optimal scheme to evaluate cost of capital using a following model, developed by Aswath Damodaran in his paper "Country risk: determinants, measures and implications".

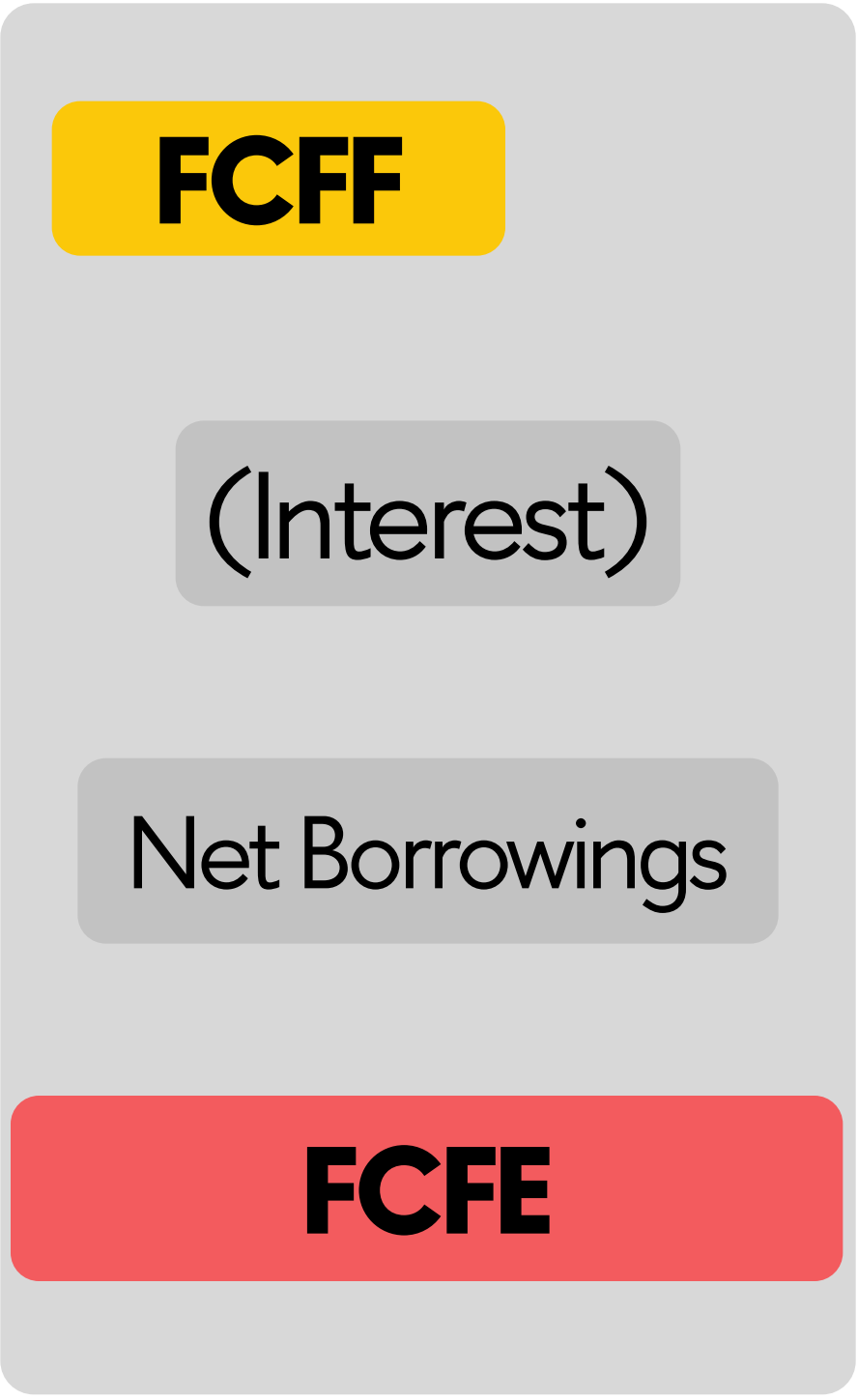
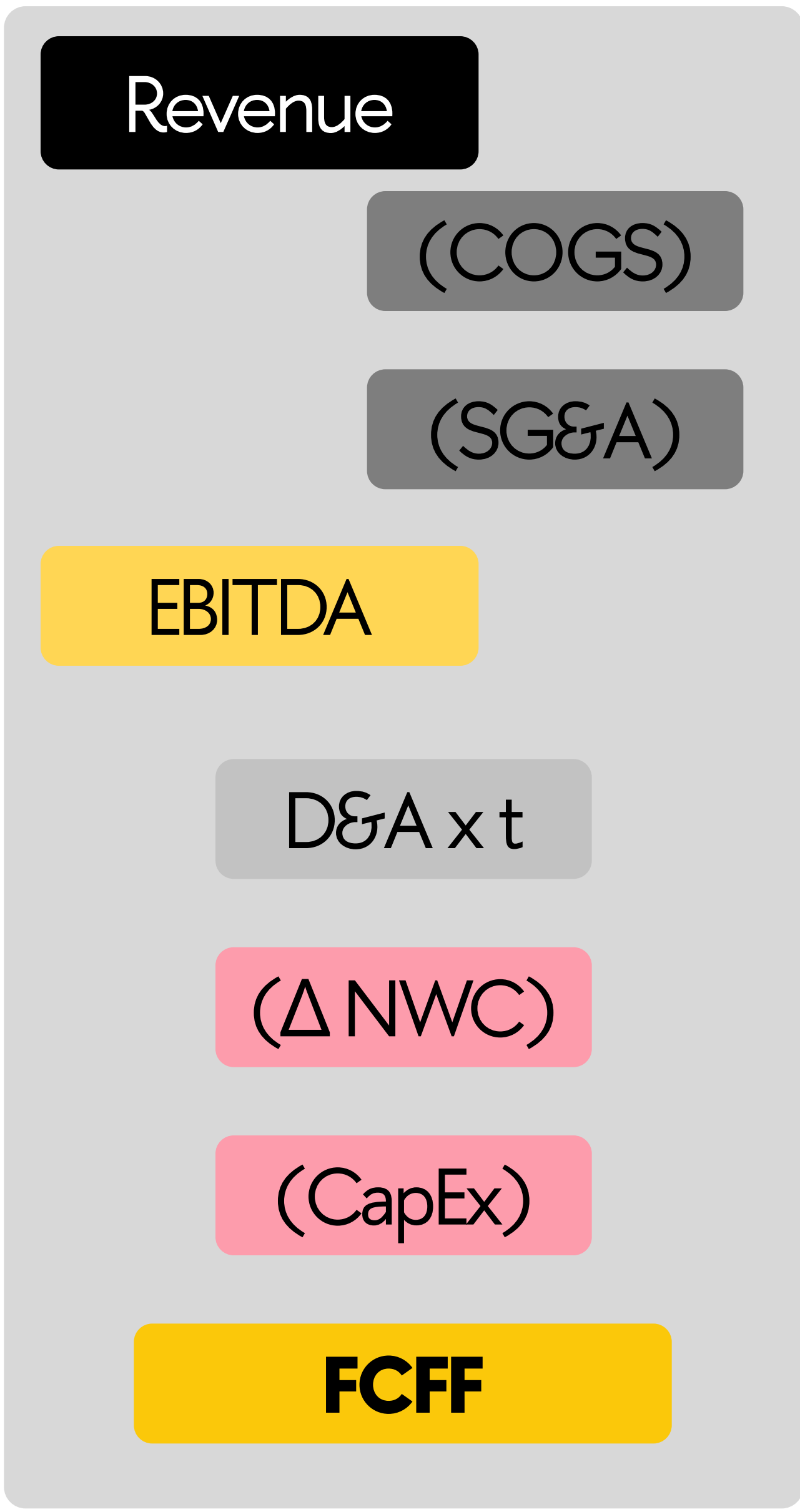
$r = Rf + \beta \times ERP + CRP \times \lambda$	
Country Risk Premium=Country Default Spread* $\left(\frac{\sigma_{\text{Equity}}}{\sigma_{\text{Country Bond}}}\right)$	
Rf	13,00%
ERP	4,41%
CRP	3,90%

Rd	10,00%
Re	18,66%
D/E	0,17
D/V	0,15
E/V	0,85

$WACC \approx 17,21\%$
WACC insignificantly changes over time due to the specific taxation.

Financial Modelling

The project benefits from preferential tax treatment under Russia's Regional Investment Projects (RIP) regime, including a reduced profit tax rate of 25% and phased Mineral Extraction Tax (MET) incentives from 2028 to 2039.



Financial Modelling

NPV = \$32 082 mln.

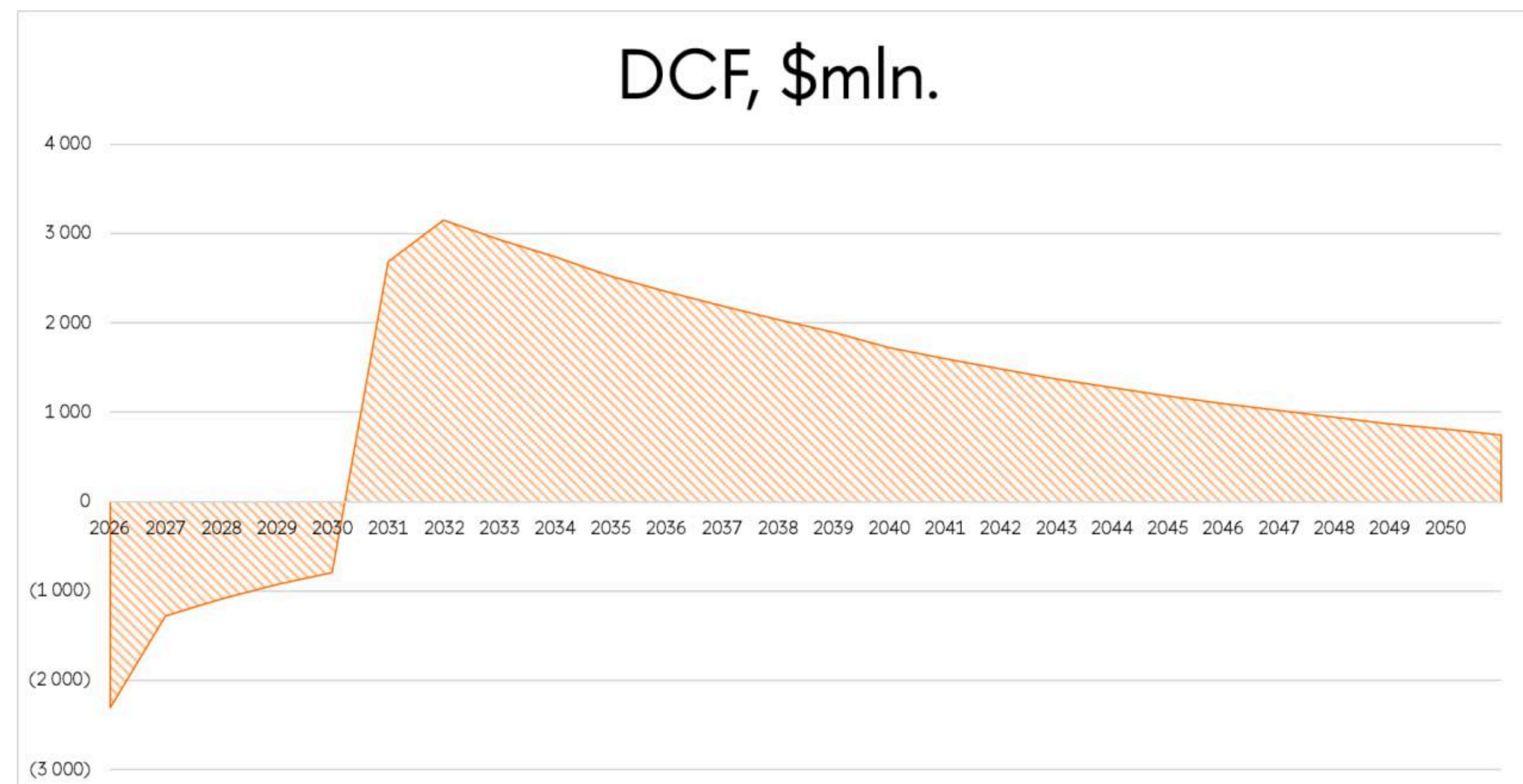
FTE = \$29 369 mln.

APV = \$30 855 mln.

IRR = 22%

Discounted Payback Period =
6.19 years

Profitability Index = 4,87



Conclusions

Polyus presents a high potential and low risk opportunity. For investors with appropriate risk appetite and a long-term horizon, the company's reserve base, cost advantages, and fiscal support justify a cautiously bullish view.

The project's positive net present value combined with an internal rate of return of 22 % demonstrates its financial viability and capacity for long-term growth.

The calculated WACC of ~17.2% reflects significant country risk (CRP 3.9%), geopolitical exposure, and supply-chain reconfiguration challenges post-2022.

Project NPV is highly sensitive to gold prices; conservative pricing assumptions (CAGR 8.64%) provide a margin of safety, but lack of hedging implies full commodity exposure for investors.

Q&A

"I like businesses where the markup is 200%, 300%, 400%, 500% or a 1000%. That's an interesting business. But businesses with a markup of 10% usually end badly, so I don't recommend them." - a certain foreign agent and an extremist

